AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Reddit, Inc.

NYSE : RDDT · Mature-Company DCF

$28.57B mkt cap · 186M sh · $954M cash, zero debt · Net cash +$954M ($954M cash, no debt); ~186.4M shares, but ~12%-of-revenue SBC keeps diluting the count; Revenue $2.20B FY25 (+62%); GAAP op margin turned positive to ~20%; FCF ~$0.70B headline (~32%), but ~half is SBC; ~$159, down ~31% YTD; hit ~$300 in 2025 then ~halved — extremely volatile post-IPO

22 October 2026 · the qualitative

$153.28

THE CENTRAL QUESTION

Does Reddit's under-monetized ad engine plus a scarce AI-training corpus outgrow its ~42x FCF price, or does Google/AI-search erode the traffic it rests on?

Reddit trades at ~$29.6B (~$159, down ~31% YTD) — ~42x headline FCF on $2.20B revenue growing ~62% at ~91% gross margin, net cash, GAAP-profitable. The bull is a deeply under-monetized ad engine (ARPU far below Meta) plus high-margin data-licensing/AI deals (Google, OpenAI); the bear is existential — ~40-50% of traffic comes from Google, and AI-search answer-boxes can disintermediate that discovery (a Q4-2025 change already dented growth). On ex-SBC owner FCF, the modal case lands ~-21%: priced for perfection.

PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) -18.5% · 75% at or below spot

$129.40

expected fair value today

-15.6% vs spot $153.28

FORWARD COMPOUNDED VALUE

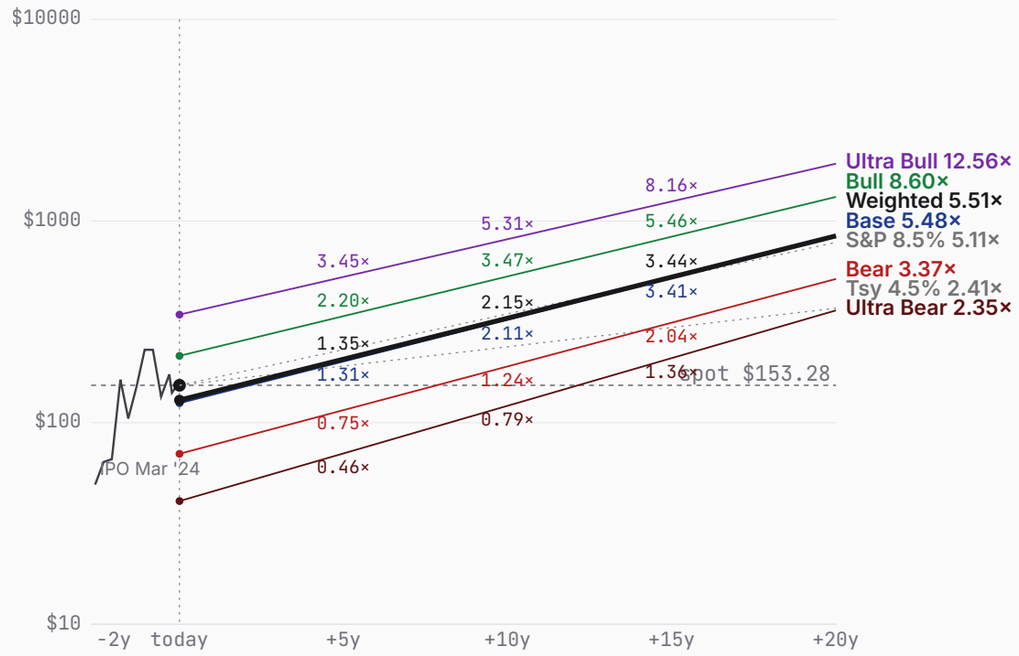
+5y	+10y	+15y	+20y
$206.54	$329.93	$527.49	$844.07
1.35× spot	2.15× spot	3.44× spot	5.51× spot

WEIGHTING RATIONALE

Ultra Bear 16% Google/AI-search erodes traffic; the model de-rates; ~$41 (-74%).
Bear 27% Growth decelerates under AI-search pressure; ~$70 (-56%).
Base 32% Ad engine compounds, traffic holds, still priced in; ~$125 (-21%).
Bull 17% Monetization plus data-licensing inflect; ~$215 (+35%).
Ultra Bull 8% Platform plus AI-corpus annuity compound; ~$343 (+116%).

Bull (17%) + Ultra Bull (8%) together contribute $63.95 — 49% of the $129.40 expected value despite 25% combined probability. Today's spot ($153.28) sits 18% above the weighted expected; the forward-weighted value reaches spot in about 2 years.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR — $40.87

-73.3% vs spot

CAGR +6.0% WACC 11.5%
CAGR +6.0% Prob 16%

Google/AI traffic erodes the model.

BEAR — $70.10

-54.3% vs spot

CAGR +12.8% WACC 10.5%
CAGR +12.8% Prob 27%

Growth decelerates; AI-search pressure caps it.

BASE — $124.95

-18.5% vs spot

CAGR +20.7% WACC 10.0%
CAGR +20.7% Prob 32%

Ad engine compounds; traffic holds.

BULL — $214.52

+40.0% vs spot

CAGR +28.0% WACC 9.5%
CAGR +28.0% Prob 17%

Monetization plus data-licensing inflect.

ULTRA BULL — $343.49

+124.1% vs spot

CAGR +35.3% WACC 9.0%
CAGR +35.3% Prob 8%

Platform plus AI-corpus annuity compound.

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Reddit, Inc. scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 16% Bear 27% Base 32% Bull 17% Ultra Bull 8% · Weighted expected $129.40 (-15.6% vs spot)

ULTRA BEAR $40.87

-73.3% vs spot

Probability 16%

Google/AI traffic erodes the model.

WHY 16%

The Q4-2025 Google-algorithm change already dented user growth and dropped the stock ~15%; AI-answer cannibalization is the live, asymmetric tail. 16% weight on the traffic dependency turning structural.

WHAT HAPPENS

The existential bear lands: AI-search answer-boxes cannibalize the ~40-50% of traffic that arrives via Google, sessions and ad inventory shrink together, and growth collapses to ~10% then ~5%. Reddit Answers and data-licensing can't backfill a structurally smaller front door, and a once-rich growth story de-rates hard to a low-teens FCF multiple.

Ex-SBC FCF margin holds ~18-24% but on a shrinking base; DCF ~$41 (-74%). When the source of discovery is disintermediated, a 91%-gross-margin model still re-rates to a fraction of a price that assumed durable traffic.

BEAR $70.10

-54.3% vs spot

Probability 27%

Growth decelerates; AI-search pressure caps it.

WHY 27%

Deceleration plus Google-algorithm sensitivity is the plausible 'grows but the engine cools' path; SBC dilution and ad-cyclicality compound it. 27% as the realistic soft outcome.

WHAT HAPPENS

Growth fades faster than the bulls hope: user adds keep decelerating off +17%, Google referral softens (not collapses), and ad ARPU gains slow as the inventory stops compounding. Revenue still grows but ~25% then into the teens, and the scarcity premium on the data-licensing corpus gets competed down.

DCF ~$70 (-56%) — a decelerating, traffic-dependent platform at a mid-teens FCF multiple is worth well under today's price. The market's high-growth premium is unwarranted if the front door is even slowly narrowing.

BASE $124.95

-18.5% vs spot

Probability 32%

Ad engine compounds; traffic holds.

WHY 32%

Requires traffic to hold and monetization to keep climbing — credible given +44% ARPU and the licensing optionality, but it is priced in. 32% as the central, still-negative outcome.

WHAT HAPPENS

The modal path: Google referral holds, the under-monetized ad engine keeps lifting ARPU toward peers, international scales, and data-licensing/AI-training deals (Google ~$60M/yr, OpenAI ~$70M/yr) compound as a high-margin offset. Revenue compounds ~40% then normalizes toward ~10%, ex-SBC FCF margin grinds to ~30%.

DCF ~$125 (-21%) — even with the ad engine working and traffic intact, an ~18x terminal FCF multiple on the honest ex-SBC cash leaves the modal case below spot. The price embeds the bull, not the base.

BULL $214.52

+40.0% vs spot

Probability 17%

Monetization plus data-licensing inflect.

WHY 17%

Under-monetization vs peers leaves real ARPU runway, and the licensing deals show the corpus has scarce, payable value. ~17% weight on both engines firing.

WHAT HAPPENS

The ad engine and the corpus both compound: ARPU closes more of the gap to Meta, international monetization inflects, and the scarce human-generated corpus becomes a recurring high-margin AI-training annuity as more labs license it. Revenue compounds ~55% then sustains mid-teens, ex-SBC FCF margin reaches ~33%.

DCF ~$215 (+35%) — if monetization and data-licensing both inflect while traffic holds, the de-rated entry re-rates with the fundamentals; this is the core of the bull and the only path that clears spot comfortably.

ULTRA BULL $343.49

+124.1% vs spot

Probability 8%

Platform plus AI-corpus annuity compound.

WHY 8%

Everything works — monetization AND the corpus annuity AND a multiple re-rate, with AI demand making the data more valuable, not less. ~8%, the long-duration tail.

WHAT HAPPENS

The full second act: Reddit becomes the default monetized discussion graph, ad ARPU rivals the majors, and the human-generated corpus turns into a durable, escalating AI-training annuity across the major labs — a high-margin stream that grows with AI demand rather than being cannibalized by it. Revenue compounds ~70% early, ex-SBC FCF margin reaches ~36%.

DCF ~$343 (+116%) — both Powers fully monetize and the multiple re-rates to a scarce-platform premium; ~8% probability, the asymmetric upside the volatile entry is buying.

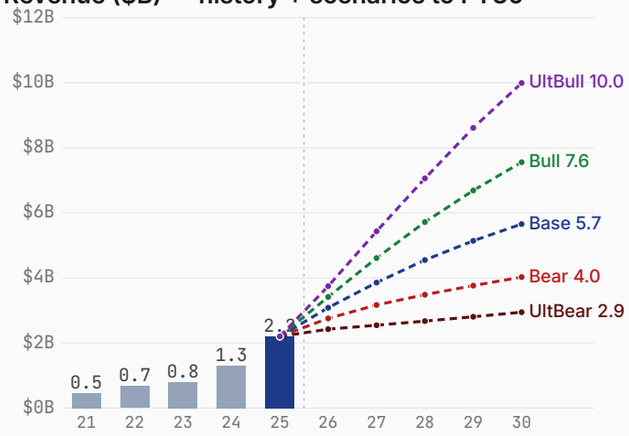
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Reddit, Inc. business snapshot

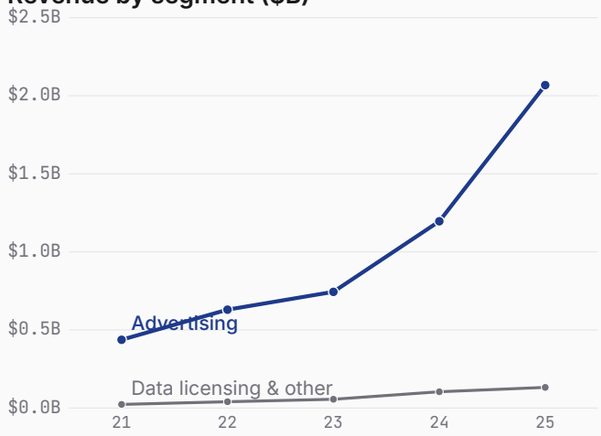
Bear $70.10 Base $124.95 Bull $214.52

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec · Q1 FY2026 results

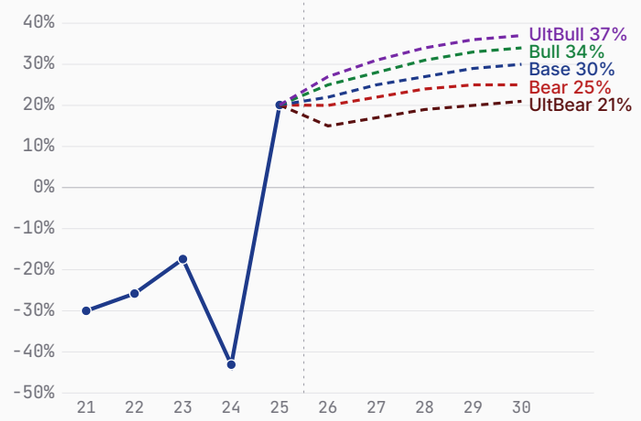
Revenue ($B) — history + scenarios to FY30



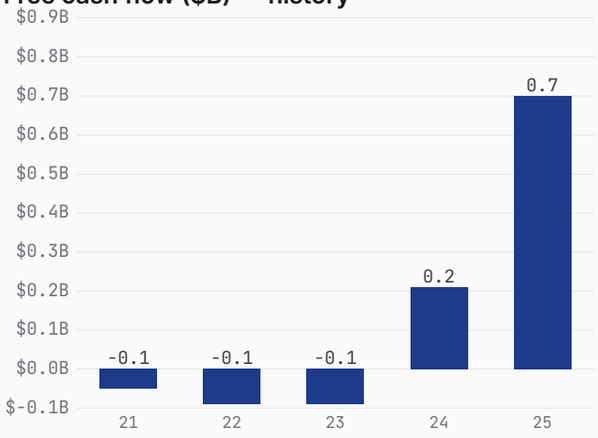
Revenue by segment ($B)



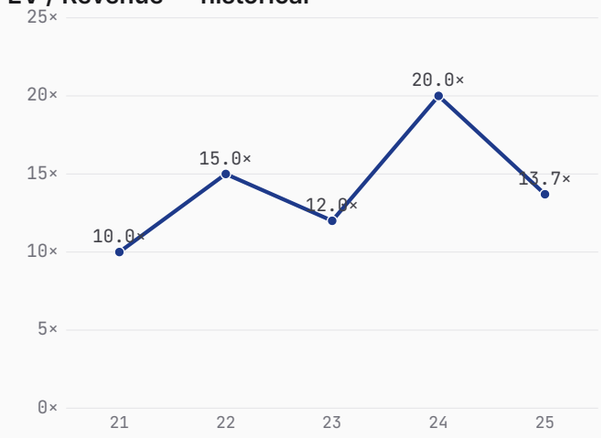
Op margin — history + scenarios



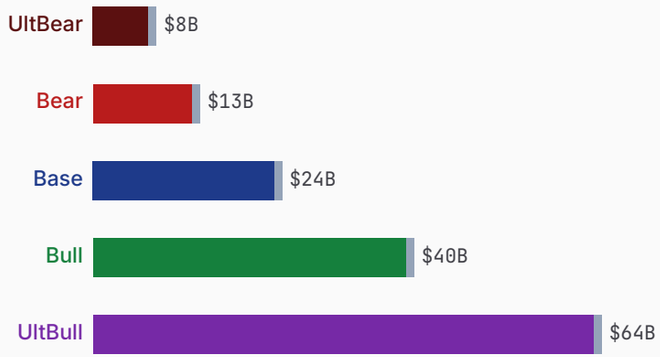
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Op EV · cash · special assets

Sources: SEC XBRL company facts (CIK 1713445), Reddit Q1 FY2026 release (revenue $663M/+69%; advertising $625M/+74%; data-licensing & other $39M/+15%; daily active uniques 126.8M/+17%; ARPU $5.23/+44%; FCF $311M/~47%; SBC ~12% of revenue). FCF = revenue x ex-SBC owner FCF margin; Gordon terminal at scenario WACC. EV/sales & EV/FCF vs Meta/Pinterest/Snap.

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Reddit, Inc. 7 Powers · the moat, scored

Bear $70.10 Base $124.95 Bull $214.52

Arena. Digital advertising and the AI-training-data market — Reddit (the community/UGC discussion graph, ~126.8M daily uniques, under-monetized ad engine) vs Meta, Pinterest, Snap for ad dollars and the AI labs (Google, OpenAI) as data-licensing buyers; auditing a network-economies Power against AI-search disintermediation.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies ■■□	Some ad-infrastructure and content-moderation leverage at ~$2.2B revenue, but small vs Meta/Google; ad-tech scale is years away.
Network Economies · thesis leans here ■■■	The dominant Power: a self-reinforcing community/UGC graph — more users and subreddits make the content more useful, which draws more users; decades of accumulated discussion are hard to replicate.
Counter-Positioning ■□□	Pseudonymous, community-moderated, interest-graph format the incumbents don't replicate well, but not a true counter-position they can't follow.
Switching Costs ■■□	Karma, communities, and moderator investment create some stickiness for power users, but most traffic is casual/search-sourced with no lock-in.
Branding ■■□	A recognized, trusted 'ask Reddit / real-people answers' brand, but discovery is mediated by Google rather than direct, blunting the brand's pull.
Cornered Resource ■■■	A scarce, hard-to-replicate human-generated corpus — the live, opinionated discussion data AI labs pay to train on (Google/OpenAI deals); genuinely cornered while licensed exclusively.
Process Power ■□□	Emerging ad-tooling and AI features (Reddit Answers) lifting ARPU, but unproven as a durable, hard-to-copy process advantage.

PEER SET

Meta (META) — 22% gr · 42% mgn · ~22x EV/FCF
The ad-monetization benchmark — ARPU and ad-tech Reddit is measured against and far below; the under-monetization gap is the bull.

Pinterest (PINS) — 16% gr · 25% mgn · ~18x EV/FCF
Closest comp — a mid-cap interest-graph ad platform, profitable, similar monetization-runway debate.

Snap (SNAP) — 10% gr · ~3x EV/sales
A scaled social-ad platform that has struggled to monetize and grow profitably — the cautionary comp on the engine cooling.

Google / OpenAI — · n/a (counterparties)
Dual role: the data-licensing buyers paying for the corpus AND, via AI-search, the existential threat to Reddit's referral traffic.

THREAT VECTORS · FALSIFIERS

Network Economies · Google / OpenAI AI-search
falsifier: Daily-unique growth turns negative as AI answer-boxes satisfy queries without sending traffic to Reddit — the graph stops compounding.

Cornered Resource · AI labs / synthetic data / open scraping
falsifier: Labs route around paid licensing (open crawls, synthetic data) and the data-licensing premium gets competed down toward zero.

Scale Economies · Meta / Google ad-tech
falsifier: ARPU gains stall well below peers as Reddit can't match the majors' targeting/ad-tech, capping the monetization runway.

COMPETITIVE READ

Reddit's network-economies Power is real — a self-reinforcing community/UGC graph and a scarce human-generated corpus (cornered_resource) that AI labs pay to train on. But the Audit's tension is that the same corpus is discovered mostly through Google: ~40-50% of traffic is referral, so AI-search answer-boxes can disintermediate the front door even as the data itself gets more valuable (the Q4-2025 algorithm change already dented user growth). Durability is medium, not high — the graph compounds but its discovery layer is rented from a counterparty that is also a competitor. That squares with the DCF: a 91%-gross-margin, +62%-growth franchise priced at ~42x FCF lands the modal case at ~-21%, because the price embeds the bull's monetization-plus-licensing inflection while carrying an existential, observable traffic risk the distribution puts real weight on.

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Reddit, Inc. show your work

Bear $70.10 Base $124.95 Bull $214.52 · Weighted $129.40 (-15.6%)

ULTRA BEAR $40.87

ASSUMPTIONS

5y revenue CAGR (%)	+6.0
Year-5 op margin (%)	21.0
WACC (%)	11.5
Terminal growth (%)	3.0
Terminal FCF ($B)	$0.71B
Starting revenue ($B)	2.20
Scenario probability (%)	16

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	2.42	+15%	+0.44	+0.39
FY27	2.54	+17%	+0.51	+0.41
FY28	2.67	+19%	+0.59	+0.42
FY29	2.81	+20%	+0.65	+0.42
FY30	2.95	+21%	+0.71	+0.41

Σ PV explicit FCF	**+2.05**
+ PV terminal (g 3.0%)	4.97

EQUITY BUILD · $B & PER SHARE

Operating EV	$7.02B
+ Cash & investments	$0.95B
= Equity value	**$7.97B**
FY30 shares (M)	195
= Expected per share	**$40.87**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$70.43	$121.38	$209.18	$360.50
0.46×	0.79×	1.36×	2.35×

BEAR $70.10

ASSUMPTIONS

5y revenue CAGR (%)	+12.8
Year-5 op margin (%)	25.0
WACC (%)	10.5
Terminal growth (%)	3.5
Terminal FCF ($B)	$1.05B
Starting revenue ($B)	2.20
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	2.75	+20%	+0.61	+0.55
FY27	3.17	+22%	+0.76	+0.62
FY28	3.48	+24%	+0.87	+0.65
FY29	3.76	+25%	+0.98	+0.66
FY30	4.03	+25%	+1.05	+0.64

Σ PV explicit FCF	**+3.11**
+ PV terminal (g 3.5%)	9.40

EQUITY BUILD · $B & PER SHARE

Operating EV	$12.51B
+ Cash & investments	$0.95B
= Equity value	**$13.46B**
FY30 shares (M)	192
= Expected per share	**$70.10**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$115.49	$190.26	$313.44	$516.37
0.75×	1.24×	2.04×	3.37×

BASE $124.95

ASSUMPTIONS

5y revenue CAGR (%)	+20.7
Year-5 op margin (%)	30.0
WACC (%)	10.0
Terminal growth (%)	4.0
Terminal FCF ($B)	$1.70B
Starting revenue ($B)	2.20
Scenario probability (%)	32

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.08	+22%	+0.74	+0.67
FY27	3.86	+25%	+1.00	+0.83
FY28	4.55	+27%	+1.27	+0.96
FY29	5.14	+29%	+1.49	+1.02
FY30	5.65	+30%	+1.70	+1.05

Σ PV explicit FCF	**+4.53**
+ PV terminal (g 4.0%)	18.26

EQUITY BUILD · $B & PER SHARE

Operating EV	$22.79B
+ Cash & investments	$0.95B
= Equity value	**$23.74B**
FY30 shares (M)	190
= Expected per share	**$124.95**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$201.23	$324.09	$521.95	$840.60
1.31×	2.11×	3.41×	5.48×

BULL $214.52

ASSUMPTIONS

5y revenue CAGR (%)	+28.0
Year-5 op margin (%)	34.0
WACC (%)	9.5
Terminal growth (%)	4.5
Terminal FCF ($B)	$2.49B
Starting revenue ($B)	2.20
Scenario probability (%)	17

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.41	+25%	+0.89	+0.81
FY27	4.61	+28%	+1.29	+1.08
FY28	5.72	+31%	+1.72	+1.31
FY29	6.69	+33%	+2.14	+1.49
FY30	7.56	+34%	+2.49	+1.58

Σ PV explicit FCF	**+6.27**
+ PV terminal (g 4.5%)	33.11

EQUITY BUILD · $B & PER SHARE

Operating EV	$39.38B
+ Cash & investments	$0.95B
= Equity value	**$40.33B**
FY30 shares (M)	188
= Expected per share	**$214.52**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$337.71	$531.63	$836.91	$1,317.50
2.20×	3.47×	5.46×	8.60×

ULTRA BULL $343.49

ASSUMPTIONS

5y revenue CAGR (%)	+35.3
Year-5 op margin (%)	37.0
WACC (%)	9.0
Terminal growth (%)	4.5
Terminal FCF ($B)	$3.60B
Starting revenue ($B)	2.20
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.75	+27%	+1.05	+0.96
FY27	5.43	+31%	+1.68	+1.42
FY28	7.06	+34%	+2.33	+1.80
FY29	8.61	+36%	+3.02	+2.14
FY30	9.99	+37%	+3.60	+2.34

Σ PV explicit FCF	**+8.65**
+ PV terminal (g 4.5%)	54.29

EQUITY BUILD · $B & PER SHARE

Operating EV	$62.94B
+ Cash & investments	$0.95B
= Equity value	**$63.89B**
FY30 shares (M)	186
= Expected per share	**$343.49**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$528.50	$813.17	$1,251.16	$1,925.06
3.45×	5.31×	8.16×	12.56×

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Reddit, Inc. People · Opportunity · Context · Deal

Bear $70.10 Base $124.95 Bull $214.52

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Steve Huffman · `founder-led` 11 yrs in seat

3.3%
insider ownership

HIGH
key-person risk

Capital allocation (realized)
Co-founder Steve Huffman has been CEO since returning in 2015 (co-founded 2005); co-founder Alexis Ohanian left the board in 2020. The company turned GAAP-profitable in FY2025 (revenue ~$2.2B, +69%; net income ~$530M) and is net cash (~$2.8B, ~zero debt). Capital allocation is early: a first $1B buyback authorized February 2026 (barely begun), no dividend. AI data-licensing (Google ~$60M/year, OpenAI ~$70M/year) is a high-margin revenue stream — and a strategic dependence.

Incentive alignment
Huffman's ~$193M 2023 equity award drew public backlash; it is price-hurdle-vesting ($45/$60/$90) through ~2028. His 2025 base is ~$569K with a 150%-of-salary target bonus. He owns only ~3% economically yet controls ~70.7% of the vote (his super-voting Class B plus an irrevocable proxy over Advance Publications' shares) — a very wide vote/economics gap. Insider selling is small and programmatic (10b5-1).

GOVERNANCE FLAGS

- three-class structure: Class B = 10 votes, Class C = no votes; the high-vote class held ~97% of the vote at IPO
- founder-CEO Huffman controls ~70.7% of the vote on ~3% direct economic ownership — via super-voting Class B plus an irrevocable proxy over Advance Publications' shares
- eligible NYSE "controlled company" (Huffman votes a majority) — but voluntarily complies with all independence requirements
- mitigant: Chair and CEO are separated — independent Chair (Habiger) plus a Vice-Chair; 7 of 8 directors independent; annual elections
- the charter requires Advance's (and, while he is CEO, Huffman's) written approval to select any Chairperson
- CEO pay: the ~$193M 2023 award drew backlash and is price-hurdle-vesting through ~2028
- business dependence on Google search referrals and AI data-licensing (Google / OpenAI)

THE FOUR LEGS

People
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value + position sizing.
`-15.6% vs spot $153.28`

> **PEOPLE READ**
> The defining fact is control: founder-CEO Huffman directs ~70.7% of the vote — his super-voting class plus an irrevocable proxy over Advance's shares — on roughly 3% economic ownership, and Reddit is a controlled company, which places it in the most-entrenched tier alongside the super-voting megacaps. The mitigants are real and more than most controlled companies offer: the Chair and CEO are separated under an independent chair, 7 of 8 directors are independent, and the company complies with independence rules despite the exemptions — which is why it is a 2 with strong mitigants rather than a 1. Key-person risk is high.

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Reddit, Inc. supporting analysis · disclaimers · glossary

Bear $70.10 Base $124.95 Bull $214.52

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1. **~91% gross margin and +62% growth is rare — why is the modal case negative?**
   Quality isn't the issue; price is. At ~42x headline FCF even strong execution lands the base at ~-21% — the price already embeds the bull.

2. **Headline FCF overstates the cash.**
   FCF was ~$0.70B (~32% of revenue) but SBC runs ~$300M+/yr; ex-SBC owner FCF is ~a quarter lower and dilutes — the model uses it.

3. **Data-licensing is the offsetting wildcard.**
   Google (~$60M/yr) and OpenAI (~$70M/yr) deals are ~6% of revenue but high-margin and scaling — a scarce corpus, partly hedging traffic risk.

4. **The Google dependency is the whole thesis.**
   ~40-50% of traffic arrives via Google; AI-search answer-boxes that satisfy queries without a click are the threat, already denting growth in Q4-2025.

5. **Net cash; no solvency risk.**
   ~$954M cash and no debt — no solvency risk; the entire downside is multiple/growth/traffic, not survival.

FALSIFICATION TRIGGERS

Bull validation

ARPU keeps climbing toward peer levels (+40%+) · daily uniques hold despite AI-search · data-licensing scales beyond ~6% of revenue

Bear validation

daily-unique growth stalls for 2+ quarters · Google referral share visibly falls · another algorithm change dents traffic

Reframe needed

if AI-search clearly disintermediates Google-sourced discovery, re-rate the terminal toward a shrinking platform — ultra-bear becomes the base

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Daily active uniques (DAUq) — Unique logged-in + logged-out daily users (~126.8M, +17%) — the traffic base; its deceleration and Google-algorithm sensitivity are the central bear signal.

AI-search cannibalization — AI answer-boxes (Google AI Overviews, ChatGPT) satisfying queries without a click-through to Reddit — the threat to the ~40-50% of traffic that arrives via Google.

ARPU — Average revenue per user (~$5.23, +44%) — far below Meta, so the gap is the bull's monetization runway, the lever that lifts ad revenue without more users.

FCF margin — Free cash flow / revenue, modeled ex-SBC (owner FCF, not the ~32% headline); SBC ~12% of revenue is a ~25% haircut to headline plus ongoing dilution.

Data licensing — High-margin revenue from licensing Reddit's corpus for AI training (Google ~$60M/yr, OpenAI ~$70M/yr; ~6% of revenue) — a scarce-resource annuity, the wildcard to traffic risk.